KARNATAKA ICSE SCHOOLS ASSOCIATION

ISC STD. XII Preparatory Examination 2026

Subject – ECONOMICS

Time Allowed: 3 Hrs. **Maximum Marks: 80** **Date: 22.01.2026**

General Instructions:

➢ You are allowed **additional fifteen minutes** for **only** reading the question paper.

➢ You must **NOT** start writing during reading time.

➢ This question paper has **9 printed pages.**

➢ It is divided into **three sections** and has **13 questions** in all.

➢ All questions are compulsory. Answer **all** questions.

➢ **Section A** has **sixteen subparts** which are very short answer questions. Each question carries 1 mark.

➢ While attempting **Multiple Choice Questions** in Section A, you are required to **write only ONE option as the answer.**

➢ **Section B** has **eight questions** which are short answer questions. Each question carries 4 marks.

➢ **Section C** has **four questions** which are long answer questions. Each question carries 8 marks.

➢ **Internal choices** have been provided in **two questions in Section B** and in **one question in Section C.**

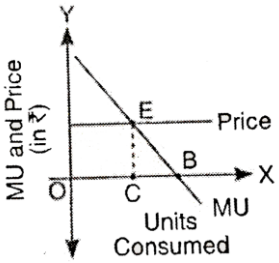
➢ The intended marks for questions are given in brackets [ ].

SECTION A- 16 Marks

Question 1

Choose the correct answers to the questions from the given options.
(Do not copy the question, write the correct answers only.)

(i) In the following diagram, the situation of Consumer's Equilibrium and Point of Satiety are represented by the points: **[1]**

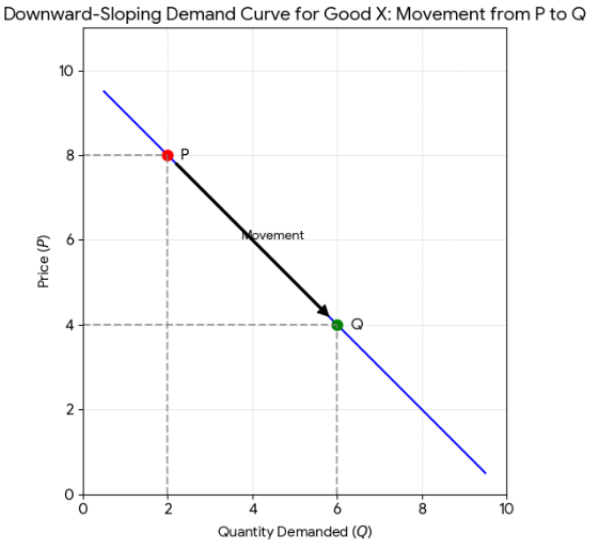


a) Point C and Point E
b) Point E and Point B
c) Point B and Point E
d) Point B and Point C

(ii) Mohit derives total utility of 12 Utils after having 5 Mangoes and total Utility on consuming 7 mangoes is 9. What is her marginal utility for the 7th Mango? **[1]**

a) +3 utils
b) 0 util
c) -3 utils
d) 21 utils

(iii) **[1]**



Which of the following is the correct reason for this movement?

a) Decrease in the price of Good X, leading to increase in quantity demanded
b) Increase in the consumer's income, leading to increase in demand
c) Decrease in the price of substitute goods, leading to increase in demand
d) Government imposes a tax on Good X, shifting the demand curve

(iv) The government reduces the GST rate on commodities. What is the MOST likely effect in the market? **[1]**

a) Supply curve shifts left, demand decreases → equilibrium price rises, quantity falls.
b) Supply curve shifts right, demand remains the same → equilibrium price falls, quantity rises.
c) Demand curve shifts right, supply remains the same → equilibrium price rises, quantity rises.

d) Both demand and supply remain unchanged → no change in equilibrium.

(v) Which of the following statements is not true for fiscal deficit? **[1]**
A fiscal deficit:
a) Represents the borrowing of the government
b) Is the difference between total expenditure and total receipts of the government.
c) Is the difference between total expenditure and total receipts other than borrowing.
d) Increases the future liability of the government.

(vi) India's rupee recently hit a record low against the US dollar in 2025. What was cited as a key factor behind this depreciation? **[1]**
a) Massive FDI inflows
b) High remittances from abroad
c) US tariffs on Indian goods and foreign investor outflows
d) India pegging rupee to euro

(vii) A café changes its recipe and interior design to attract customers instead of cutting prices. What market form is this? **[1]**
a) Monopoly
b) Oligopoly
c) Monopsony
d) Monopolistic

viii) **Assertion(A)**: Total revenue is at its maximum point when marginal revenue is zero. **[1]**
Reason(R): When every additional unit is sold at the same price, Marginal Revenue = Average Revenue.
a) Both Assertion and Reason are true and Reason is the correct explanation of Assertion.
b) Both Assertion and Reason are true but Reason is not the correct explanation of Assertion.
c) Assertion is true and Reason is false.
d) Both Assertion and Reason are false.

(ix) **Assertion (A):** Progressive taxation can sometimes lead to a decrease in total tax revenue. **[1]**
Reason (R): Higher marginal tax rates may discourage work effort and lead to tax evasion or avoidance.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.
c) A is true, but R is false.
d) A is false, but R is true.

(x) A new small shop tries to enter a neighborhood dominated by a few large supermarkets but finds it difficult due to brand loyalty and economies of scale. Name the market form and reason for the barrier. **[1]**

(xi) Given an MPC is 0.8, What will be the increase in the consumption when income rises by ₹100? **[1]**

(xii) "An economy facing unintended accumulation of inventories would try to reduce aggregate demand."Support your answer with valid reason. **[1]**

xiii) Government takes measures to restrict autonomous imports of gold. Explain the economic values desired to be achieved from this. **[1]**

(xiv) In a market where many firms sell similar but differentiated products, how can a specific firm, such as a local coffee shop offering its own unique blend, maintain some degree of control over the prices it charges? Explain using this case. **[1]**

(xv) The government launches a rural employment scheme, injecting ₹200 crore as wages. An economist notes that villagers spend 75% of any additional income they earn. Calculate the multiplier effect for this scheme. **[1]**

(xvi) India is experiencing a period of deflation, with falling prices, reduced consumer demand, and slowing economic growth. In response, the government promotes initiatives like 'Start-Up India', which encourages new business ventures, and 'Make in India', which aims to boost domestic manufacturing. **[1]**
Explain how such programmes could help revive economic activity and counter the effects of deflation.

SECTION B – 32 MARKS

Question 2

(i) *"A sudden rise in health awareness has led to a sharp increase in the consumption of organic food, even though prices remain higher than regular alternatives."* **[2]**
Explain why the demand for organic food increased despite higher prices.

(ii) When the price of good X is ₹5, the consumer buys 100 units of good X. At what price would he be willing to purchase 140 units of good X. The price elasticity of good X is ₹2. **[2]**

Question 3

(i) *"Despite a fiscal deficit of 5.8% of GDP, interest payments consumed a major portion, leaving a primary deficit of only 0.8%."* **[2]**
Interpret what this implies about the government's current-year spending efficiency.

(ii) *"During a recession, the government increased healthcare and education spending while keeping taxes low."* **[2]**
Analyze why this type of expenditure is important during a slowdown.

Question 4

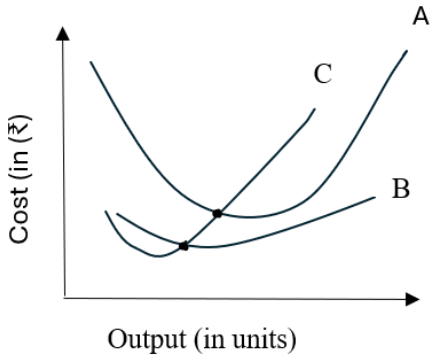
(i) The total cost curve makes an intercept of ₹50 on the Y axis. Calculate total fixed cost and total variable cost. **[2]**

Output(Units)	1	2	3	4
TC(₹)	65	90	120	160

(ii) Give the behaviour of marginal product and total product as more and more units of only one input are employed while keeping other inputs as constant. **[2]**

OR

(i) **[4]**



On the basis of given diagram, answer the following questions:

a) Identify the three short run curves
b) Why are all three curves U-shaped?
c) Why does the distance between curve A and curve B fall with rise in output? Will it coincide at any level of output?
d) Why does the minimum point of curve A lie to the right of minimum point of curve B?

Question 5

(i) Explain the implications of the following: **[2]**

a) 'Perfect knowledge' under Perfect Competition
b) 'Some degree of price control' under Monopolistic Competition

(ii) *In a remote mining town, there is only one major coal company that hires almost all the local workers. Since the town is isolated and alternative employment opportunities are very limited, workers largely depend on this single employer for jobs. The company often sets wages lower than those offered in nearby cities, and workers have little bargaining power.* **[2]**

Identify the type of market described above from the buyer's side. Explain one key feature of this market.

Question 6

(i) Why is the average revenue curve of a firm under perfect competition parallel to X-axis and negatively sloped under monopoly? **[2]**

(ii) *"A bakery in a town faces perfect competition. Recently, due to high demand for cakes during the festival season, the bakery was able to sell its cakes at a price higher than its average total cost, earning extra profits. Other bakers in town notice this and plan to start selling cakes too."* **[2]**

Explain why the bakery earns supernormal profits in the short run and what is likely to happen in the long run.

Question 7

(i) *"Foreign portfolio investors pulled out ₹8,000 crore from Indian markets this week as global interest rates rose, causing the rupee to weaken against the dollar."* **[2]**

How does the withdrawal of foreign investment affect India's foreign exchange market and economy?

(ii) A country is experiencing a deficit in its Balance Of Payment due to high import demand and excessive domestic spending. Which fiscal measure is the government likely to adopt in this situation and how will it help in correct the BOP deficit. **[2]**

Question 8

(i) With the help of a reason, explain why the following are included in calculation of National Income. **[2]**

a) Rent received by a foreigner from property located in India

b) Earning from a part time job in Mc Donalds by a student.

(ii) "According to the Expenditure Method, Gross Domestic Product (GDP) is calculated by summing up the final expenditures made by all sectors of an economy." **[2]**
In reference to this statement, describe the types of expenditure undertaken by any two sectors.

OR

(i) Explain how corporate taxes and undistributed profits affect the calculation of Personal Disposable Income. **[2]**

(ii) What precautions should be taken while estimating national income by production method? **[2]**

Question 9

Outline the steps required to be taken in deriving saving curve from the given consumption curve. Use diagram. **[4]**

SECTION C - 32 MARKS

Question 10

(i) A consumer consumes only 2 goods X and Y whose prices are ₹2 and ₹1 per unit respectively. If the consumer chooses a combination of the two goods with marginal utility of X being 4 and that of Y also being 4, is the consumer in equilibrium? Give reasons. Explain what a rational consumer will do in this situation. Use Marginal Utility Analysis. **[6]**

(ii) A plot of land has a fixed size. As more seeds are sown, the yield per seed initially rises, then starts falling, and finally becomes zero. **[2]**
Which economic concept explains this pattern?

Question 11

(i) Consumer's equilibrium is always the best possible outcome for a consumer. Evaluate this statement considering that role of budget constraints and consumer preferences. **[6]**

(ii) Does a fall in income have the same effect on necessities and inferior goods. Give reason. **[2]**

Question 12

(i) A smartphone company purchases chips, screens, and batteries to assemble phones. The phones are then sold to customers. **[2]**
Identify intermediate and final goods in this case. Why is it necessary to avoid including intermediate goods in GDP?

(ii) From the following information, **calculate GNP_{MP} by income and expenditure methods.** **[6]**

Particulars	₹ in crores
1. Personal consumption expenditure	2,940
2. Social security contribution by Employers	108
3. Net indirect taxes	216
4. Interest	156
5. Government expenditure on goods and services	864
6. Rent	168
7. Undistributed profits	252
8. Dividends	192
9. Wages and Salaries in Cash	2,544
10. Tax on corporate profits	228
11. Net domestic Investment	396
12. Depreciation	324
13. Net Exports	36
14. Income of the self employed	372
15. Net factor income from abroad	15

OR

(i) A country reports that its Nominal GDP increased by 8% in a year, while Real GDP increased by only 2%. **[2]**
What does this difference indicate about price levels? What can you infer about inflation?

(ii) **Calculate National Income by expenditure and output method:** **[6]**

Particulars	₹ in crores
1. Net exports	-50
2. Value of output of primary sector	900
3. Value of output of secondary sector	800
4. Value of output of tertiary sector	400
5. Intermediate consumption of primary sector	400
6. Intermediate consumption of secondary sector	300
7. Intermediate consumption of tertiary sector	100
8. Consumption of fixed capital	80
9. Indirect taxes	100
10. Government final consumption expenditure	100
11. Subsidies	10
12. Net factor income from abroad	-20

Question 13

"According to the latest quarterly economic report released by the National Economic Survey Authority, the country's current account deficit (CAD) widened significantly to ₹35 billion in the last quarter, marking the highest deficit seen in the past two years. Economists attribute this widening gap to a sharp rise in imports of crude oil, driven by both increased global prices and higher domestic demand. At the same time, export earnings from the textile sector fell by nearly 12% due to weakening demand in major international markets such as Europe and the United States.

The report also highlights that while the current account showed stress, the capital account remained strong. The economy recorded robust foreign direct investment (FDI) inflows, particularly in the technology and digital services sector, where multinational companies announced new investment projects worth over ₹20 billion. Analysts believe these inflows have helped ease pressure on the country's foreign exchange reserves.

Balance of Payment

Furthermore, the central bank noted that this mixed performance reflects both challenges and opportunities for the economy. Global uncertainties continue to affect trade flows, while rising investor confidence in the country's technology sector is contributing to healthier capital inflows. Policymakers have emphasized the need to boost export competitiveness and diversify energy sources to avoid long-term dependence on costly imports."

Source: The Economic Times

(i) What does the article suggest policymakers should focus on to address long-term economic challenges? **[1]**

(ii) Explain why an increase in imports leads to a current account deficit. **[2]**

(iii) Why do FDI inflows appear in the capital account of the BOP? **[2]**

(iv) If the current account is in deficit but the capital account shows a surplus, explain how the overall BOP may remain balanced. **[3]**